

2017 Exit

Exam

Tir 26 Monday

Session 2, 5:30- 8:30

1) The weighted average cost of capital for a firm is the:

- a. minimum discount rate the firm should require on any new project
- b. rate of return shareholders should expect to earn on their investment in this firm
- c. rate of return a firm must earn on its existing assets to maintain the current value of its stock

C

- d. discount rate which the firm should apply to all of the projects it undertakes

2) Which of the following funds would account for pass-through grants to a not-for profit organization assisting low income individual

- A. Special revenue fund.
- B. Agency fund.
- C. Permanent fund
- D. Private-purpose trust fund

D

3) All of the following investigations are made by Audit firms before accepting a new client **except**

- A. Financial stability of the new Client
- B. The prospective client's standing in the business community.
- C. Relations with its previous audit firm
- D. Investment prospects in an audit client by audit firms

D

4) Gunna share company reported the following on its income statement:

- Income before income taxes \$600,000
- Income tax expense 150,000
- Net income \$450,000
- **An analysis of the income statement revealed that interest expense was \$60,000. Gunna Share Company's time interest earned was**
- A. 7.5 times
- B. 10 times
- C. 8.5 times
- D. 11 times

C

Interest rate coverage ratio= EBIT/Interest expense

$$600,000/60,000= 10 \text{ Times}$$

5) Under a conservative financing policy a firm would use long-term financing to finance some of the temporary current assets. What should the firm do when a “dip” in temporary current assets causes total assets to fall below the total long-term financing?

- A. purchase additional plant and equipment
- B. use the excess funds to pay down long-term debt
- C. Invest the excess long-term financing in marketable securities
- D. use the excess funds to repurchase common stock

B

6) Which of the following statement demonstrates the debit Memo document in the acquisition and payment cycle?

- A. A debit memo is a document received from the vendor and indicates a reduction in the amount owed to a vendor because of returned goods or an allowance granted.
- B. A debit memo is a document prepared monthly by the vendor and indicates the beginning balance, acquisitions, returns and allowances payments to the vendor, and ending balance.
- C. A debit memo is a document received from the vendor and shows the amount owed for an acquisition.
- D. A debit memo is commonly used by organizations to establish a formal means of recording and controlling acquisitions, primarily by enabling each acquisition transaction to be sequentially numbered.

A

7) Which of the following international standard setting organization issued international financial reporting standards (IFRS) ?

- A. International Accounting Standards Board (IASB) **A**
- B. international Organization of Securities Commissions (IOSCO)
- C. Accounting and Auditing Board of Ethiopia (AABE)
- D. International Public Sector Accounting Standards(IPSAS)

8) Company A, based in the United States, has a subsidiary in Australia. The subsidiary reports net income of AU\$ 100,000 for the year. The exchange rate at the end of the year is 1 USD = 1.5 AUS What amount should company A record as the subsidiary's net income in USD?

- A. \$75,000

1USD = 1.5 AUS

100,000 AUS

- B. \$66.666.67

B

$100,000 / 1.5 = 66,666.67$

- C. \$150,000,

- D. \$100,000

9) All of the following describes steps in activity based costing except:

- a. Compute an overhead activity rate for each activity cost pool.
- b. Identify activities and assign-budgeted costs to activity cost pools.
- c. Compute an overhead rate for each department cost pool.
- d. Allocate overhead costs to cost-objects (products).

C

10) What is the present value of the following cash-flow stream if the interest rate is 5 percent?

- Year Cash Flow
- 1 \$200
- 2 \$400
- 3 \$300
- A. 812.44
- B. 900
- C. 81627
- D. 809.08

A

$$Pv = \frac{Fv}{(1+i)^n}$$
$$\frac{200}{(1+0.05)^1} + \frac{400}{(1+0.05)^2} + \frac{300}{(1+0.05)^3}$$

11) Which of the following statement describes debt investment ? Its an investment which

- A. Have not maturity date
- B. Can receive dividend
- C. Can receive interest revenue
- D. Can give the ownership title

C

12) Which of the following groups of capital budgeting techniques uses the time value of money?

- A. IRR, payback, and NPV
- b. Book rate of return, payback, and profitability index
- C. IRR NPV, and profitability index
- D. IRR book rate of return, and profitability index

C

13) Ato Getu has purchase land at a price of birr 1,005,000. Legal fees were birr 10,000. An old budling was removed at a cost of birr 35,000.

What amount should be recorded at the cost of the land ?

- A. Birr 1,040,000

$$1,005,000 + 10,000 + 35,000 =$$

$$1,050,000$$

- B. Birr 960,000

- C. Birr 1,005,000

- D. Birr 1,050,000

D

14) Which one of the following audit procedures concerned with evaluating and comparing financial and non- financial data for plausible relationships

- a. Re-performance.

- b. Inspection.

D

- c. Confirmation

- d. Analytical procedure.

Analytical procedures involve comparing financial and/or non-financial data to identify trends, relationships, and potential misstatements.

This aligns directly with "evaluating and comparing financial and non-financial data for plausible relationships." Auditors use analytical procedures to assess the reasonableness of financial information.

15) Which one of the following dividend relevant theories?

- A. Bird-in-the-Hand Theory
- B. Expectation theory
- C. Modigliani and Millar (MM) Theory
- D. Residual theory

A

16) Gatluk plc invested Br. 1,000,000 in Dame Co. for 20% of its outstanding shares. Dame Co. pays out 40% of net income in dividends each year, Dame reported annual net income of Birr 520.000. How much was Gatluk plc's share of Dame Co's net income for the year

$$520,000 * 0.2 = 104,000$$

- a. Br. 200.000

- b. Br. 104,000

B

- c. Br. 208,000

- D. Br 130.000

17) A company's standard is Birr 6 per unit in variable overhead (4 machine hours * Birr 1.50 per hour). Actual variable overhead costs of birr 150,000 were incurred to produce 24,000 units.

The total variable overhead variance is

- A. Birr 6.000 Favorable

total variable overhead variance=
Actual VOH – Budgeted VOH

- B. Birr 114,000 favorable

150,000- (6*24000)

- C. Birr 114,000 Unfavorable

150,000- (144,000) = 6000U

- D. Birr 6,000 Unfavorable

D

18) Government bonds are considered to be

A. speculative instruments

B. high-risk, high reward investments

C. Only for institutional investors

D. Relative low risk investments

D

19) What is the impact of the loan term (maturity) on the interest rate?

- A. longer-term loans come with higher interest rates due to increased risk
- B. interest rates decrease as the loan term gets longer
- C. short term loans always have a higher interest rate than long-term loans
- D. the loan term has no bearing on the interest rate offered

A

20) Which one of the following is not among the human resources mechanism to control over cash ?

- A. Conduct thorough background checks
- B. Rotate employees duties and required employees to take vacation
- C. Pre numbered documentation procedures
- D. Bond employees who handle cash

C

• **21) Which financial statement is generally affected by the recognition of goodwill in the consolidation financial statement at the date of acquisition ?**

• A) Statement o retained earnings

• B) Statement of profit or loss

• C) Cash flow statement

• D) Statement of financial position

D

22) Which feature of preferred stock dividend gives preferred stockholders the right to receive dividend beyond the specified rate (amount) by sharing proportionally with common stockholders for any remaining amount?

A. participative

A

B. non participative

C. Non cumulative

D. Cumulative

Participative preferred stock allows preferred stockholders to share in the distribution of additional dividends after the stated dividend rate on the preferred stock has been paid. They "participate" in any extra dividends remaining after common stockholders also receive their share.

23) Which of the following is contingent liability?

- a. Decommissioning nuclear facilities.
- b. Dismantling, restoring, and reclamation of oil and gas properties.
- c. A lawsuit in which it is only possible that the company might lose.
- d. Acquisition of goods by purchase on credit

C

24) How should be applied the decision rule in a sell-or-process-further decision? Process further as long as the incremental revenue from processing exceeds:

- a. Fixed processing costs.
- b. Incremental processing costs.
- c. Moved processing Costs
- d. Stepwise processing costs.

B

25) Which one of the following forms of business combination refers the integration of firms with operations in different, but successive, stages of production or distribution, or both?

- A. Conglomerates combination

- B. Vertical combination

B

- C. Horizontal combination

- D. Horizontal and conglomerates combination

26) Which of the following statement explains the transaction-Related Audit Objectives of accuracy for cash receipt transaction ?

- A. Cash receipts transactions are correctly classified
- B. Cash receipts are deposited and recorded at the amounts received
- C. Recorded cash receipts are for funds actually received by the company
- D. Cash received is recorded in the cash receipts journal

27) Taxable income means

- a,. The amount differed for future tax payment,
- b. The amount used to compute income taxes payable
- c. The amount of tax which is depicted on tax return
- d. The amount try against head for government

B

28) Obsa Private Limited Company (PLC) had sales of Br. 5-million and total assets of Br. 4,500,000 in 2022. The current liabilities during the end of the same year were br. 1,250.000. The PLC's net profit margin and dividend pay out ratios are 5% and 40% respectively. All assets and current liabilities will vary directly with sales. Determine the additional funds needed (AFN) Using Formula method for 2023 if sales are projected to grow by 5% only

A. 250000

B. 62500

C. 5500

D. 5000

D

$AFN = \text{Change in Asset} - \text{Change in liability} - \text{change in RE}$

For payout ratio = 40%:

Change in Asset = $4.5M * 0.05 = 225,000$

Change in liability = $(1,250,000) * 0.05 = 625,00$

change in retained earning

Increase in Retained earnings = $\text{forecasted sale} * PM * b$

$= (5M * 1.05) * 5\% * (1 - 0.4) = 157,500$

$AFN = 225,000 - 62500 - 157,500 = 5000$

29) Which one of the following is not indicator of asset impairment as per IAS 36?

- A. Market value declines
- B. Increase in market interest rates
- C. Negative changes in technology
- D. Market value increase

D

30) Operating cash flow described as activities involve:

- a. Cash flows resulting from changes in statement of refined earnings.
 - b. Cash flows resulting from changes in equity and noncurrent liability items
- C**
- c. Income statement items.
 - d. Cash flows resulting from changes in investments and other non current asset items

31) The units of an item available for sale during the year were as follows:

- Jan. 1 Inventory 6 units at \$50 \$ 300
- Mar. 20 Purchase 14 units at \$55 \$770
- Oct. 30 Purchase 20 units at \$62 \$1,240
- **Available for sale 40 units \$2,310**
- There are 16 units of the item in the physical inventory at December 31: The periodic inventory system is used. Determine the cost of merchandises using the first-in, first-out (FIFO) method.
- A. \$1,318
- B. \$1,240
- C. 1460
- D. 992

A

$$\begin{array}{r} 6*5 = 300 \\ 14*55 = 770 \\ 4*62 = 248 \\ \hline 1318 \text{ CGS} \\ 16*62 = 992 \text{ EI} \end{array}$$

32) Investment banks focus on:

- A. raising capital for businesses through public offerings
- B. providing insurance coverage for various risks
- C. offering low-interest loans for homeownership
- D. managing everyday financial needs of individuals

A

33) Which of the following statement makes Significant insurance risk different from other risks?

- a. Insurer suffer a loss caused by the insured event and pay significant additional amounts beyond what would be paid if the insured event had occurred
- b. The risk of a high possibility of future change in one or more of a specified interest rate and financial instrument price
- c. The risk of a high possibility of future change in one or more of a specified commodity price, currency exchange rate and in of prices or rates
- d. Insured suffer a loss caused by the insurer event and pay significant additional amounts beyond what would be paid if the insurer event had occurred

A

